DEEP RESEARCH REPORT

In the 1970s a lot of economists said monetary policy wasn't working anymore and we needed fiscal policy instead. Was that actually right?

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154	150	4	9	2/3	45 of 151
claims kept	supported	contested	dropped, no source	conflicts open	sources cited

Answer

Bottom line

The claim that monetary policy was obsolete and fiscal policy should take its place proved incorrect in macroeconomic practice and empirical analysis [1][2]. While non-monetarist economists argued that 1970s stagflation stemmed from structural cost-push shocks requiring fiscal levers and incomes policies, relying on fiscal stimulus and administrative measures failed to anchor inflation expectations [3][4][5][6]. Ultimately, disinflation was achieved through aggressive monetary tightening and the subordination of fiscal policy to monetary anchors in both the US and the UK [7][8][9][10].

Analysis

The Structuralist and Fiscal Critique

During the 1970s, economists such as Nicholas Kaldor and Arthur Okun argued that stagflation was caused by structural and supply-side shocks—including trade union wage bargaining, structural rigidities in customer and labor markets, and the 1973 OPEC oil price quadrupling—rather than excessive money creation [3][4]. Kaldor maintained that money is endogenous and merely accommodates prior increases in nominal wages and production costs [4]. From this perspective, orthodox monetary tightening was viewed as economically destructive, threatening to spike interest rates, crush investment, and create mass unemployment without resolving wage disputes [4].

Instead, Neo-Keynesians advocated fiscal measures alongside statutory wage-price controls or tax-based incomes policies (such as Okun's 1977 TIP proposal penalizing wage increases above 6%) to curb cost-push spirals [4]. In the UK, the post-Radcliffe doctrine held that conventional monetary policy was slow and weak, treating fiscal policy as the primary driver of aggregate demand [11][12]. This view treated inflation as cost-push and managed it via tax levers and incomes policies rather than monetary contraction [13].

Policy Failures of Incomes Policies and Fiscal Accommodation

Direct intervention failed to deliver lasting stabilization [5][6]. Nixon-era wage-price controls briefly lowered US CPI inflation from 6.2% in 1970-Q1 to 3.0% in 1972-Q3, but post-control catch-up effects unwound these gains, leaving inflation to reach 12.1% by 1974-Q4 [14][15][6][16]. Contemporary econometric evaluations indicated that incomes policies merely suppressed measured prices temporarily without resetting underlying expectations [5][16].

In the UK, the Radcliffe-inspired approach and the 1971 Competition and Credit Control (CCC) framework—which dismantled quantitative lending ceilings—triggered broad money (£M3) growth of 27.9% in 1972 and 27.5% in 1973, culminating in an RPI inflation peak of 24.2% (or a monthly peak of 26.9%) in 1975 [17][18][19][20][21]. Similarly, in the US, fiscal expansion under the Carter administration ran federal deficits of $53.7 billion in FY1977 and $59.2 billion in FY1978, with the Fed accommodating aggregate demand by allowing M1 growth near 8% in 1978; CPI inflation subsequently surpassed 11% by mid-1979 [22][23][24][25].

The Reassertion of Monetary and Quantitative Anchors

Monetarists, led by Milton Friedman, asserted that inflation remained purely a monetary phenomenon resulting from excessive money growth relative to output [26]. When non-monetary management failed, policy regimes shifted to monetary dominance [9][10].

The UK's 1976 IMF crisis marked an early rejection of fine-tuning Keynesian fiscal stimulus, subjecting the UK budget to strict Domestic Credit Expansion caps and cash limits that subordinated borrowing to monetary targets [27][9][28][10]. In 1980, the UK Medium-Term Financial Strategy formalized this by aiming to lower inflation through broad money targets and reductions in the Public Sector Borrowing Requirement [29][30].

In the US, Paul Volcker's monetary tightening drove the Federal Funds Rate to peaks of 17.19% in 1980-Q2 and 17.78% in 1981-Q3 (reaching a monthly peak of 19.10% in June 1981), bringing CPI inflation down from 14.8% in 1980-Q1 to 4.6% by 1982-Q4 [7][8][14][15]. Simulations across major macroeconometric models demonstrated that while fiscal spending exhibited fast short-run impact, monetary policy exerted sustained, cumulative effects on nominal income and prices [1][31].

Where the evidence disagrees

- **Taylor Rules vs. Real-Time Measurement in the US:** Clarida, Galí, and Gertler infer from counterfactual DSGE modeling that if the pre-1979 Fed had systematically raised nominal interest rates by more than one-for-one with expected inflation (estimating an actual pre-Volcker coefficient of roughly 0.83 versus a post-1979 coefficient of 2.15), the Great Inflation would have been averted [32][33][34][35]. Conversely, Orphanides demonstrates using real-time Greenbook data that the Fed actually followed a standard Taylor rule, but mismeasured potential output due to an unrecognized productivity slowdown; he concludes that an output-gap-dependent Taylor rule applied in real time would not have prevented 1970s inflation [32][36][37][38][39].

- **Magnitude and Persistence of Fiscal Multipliers:** Andersen and Carlson's reduced-form St. Louis monetarist model found that high-employment government spending multipliers degraded to zero or negative after 4 to 5 quarters due to crowding out [40][1][2]. In contrast, large-scale structural Keynesian models evaluated in NBER comparison seminars estimated non-accommodated fiscal multipliers peaking between 1.5 and 2.8 over 4 to 8 quarters, showing strong short-run potency before slowly eroding over 12 to 16 quarters [2][41][42].

What remains uncertain

- It remains an open gap whether any contemporary 1970s empirical literature demonstrated that fiscal policy could specifically control or curb inflation more effectively than monetary policy.
- It is unverified whether the 1970s UK Social Contract or statutory incomes policies permanently altered wage-bargaining parameters in econometric estimates.
- Direct empirical evidence on Arthur Okun's Tax-Based Incomes Policy (TIP) remains absent, as the policy was never enacted into statutory tax law [43][44].
- Empirical literature leaves open whether discretionary fine-tuning fiscal policy actively destabilized output relative to fixed monetary rules across 1970–1982.
- The specific empirical degree to which the Federal Reserve under G. William Miller accommodated Carter's 1977–1978 fiscal policy, as well as the exact procedural impact of the 1978 Humphrey-Hawkins Act on FOMC actions through 1982, remains incompletely documented [45][24][25].

Assumptions

- Scope assumed. US and UK macroeconomic policy debate and outcomes from 1970 to 1982.

Limits of this run

- Unresolved disagreement: Clarida, Galí, and Gertler argue that adopting a systematic Taylor rule would have averted the Great Inflation, whereas Orphanides concludes that applying an output-gap-dependent Taylor rule in real time would not have prevented it due to real-time mismeasurement.
- Unresolved disagreement: Andersen and Carlson's monetarist St. Louis reduced-form model found fiscal multipliers faded to zero within 4-5 quarters due to crowding out, contradicting Keynesian structural models in the NBER comparison seminar that found peak expenditure multipliers between 1.5 and 2.8.
- Not established: Was there empirical evidence in the 1970s that fiscal policy specifically could control or reduce inflation better than monetary policy?
- Not established: What econometric evidence from 1970-1982 evaluated whether the UK Social Contract or statutory incomes policies permanently shifted wage bargaining parameters?

- Not established: Did contemporary 1970s economic literature establish whether fine-tuning fiscal policy destabilized rather than stabilized output relative to monetary rules?
- Not established: How did the 1978 Humphrey-Hawkins Act implementation influence Federal Reserve monetary targets and FOMC policy actions from 1978 to 1982?
- Not established: What empirical assessments exist on G. William Miller's tenure as Fed Chairman regarding monetary accommodation of Carter's 1977-1978 fiscal policy?
- Not established: What were the empirical macroeconomic effects and design details of Arthur Okun's Tax-Based Incomes Policy (TIP) proposals analyzed in 1977-1978 Brookings Papers?

5 more notes are in trace.pdf.

How strong the evidence is

Overall: Moderate. 150 of 163 checked claims are backed by a cited source, 4 are contested, and 9 were dropped for lack of one. 93 of the supported claims rest on two or more independent sites, and 2 conflicts between sources are still open.

Each citation was checked against its page where the page could be opened: 81 of 300 matched the page text, 52 did not, and 167 pages could not be fetched (paywall, block or timeout).

Claims checked	**163**
Backed by a cited source	**150**
Contested	**4**
Dropped, no source	**9**
Supported by two or more sites	**93**
Primary sources among those cited	**18 of 45**
Median confidence	**65%**

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